



AS BRENT CRUDE oil trades around \$110 a barrel and essential commodities such as steel see a jump of almost ₹10,000 a tonne, India's \$57-billion auto components industry continues to bear the impact of the ongoing Russia-Ukraine conflict and its aftershocks. The industry, which comprises over 600 large and medium-sized manufacturers, says that the 5Cs—coronavirus, chip shortages, container costs, commodity prices and the conflict—are responsible for taking it at least three years back in time.

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Why the conflict? Russia happens to be one of the world's biggest producers of palladium, which is used to build memory and sensor chips. And Ukraine exports neon gas, which is used for making chips by etching circuit designs into silicon wafers. "It has accentuated the risk associated with doing business. Even pre-Covid-19, the auto industry was on a downside for almost two years. One of the biggest challenges is that if one of the supply chain partners is not able to perform, our working capital gets blocked. [But] we're kind of hedged because we're present in multiple segments," says Deepak Jain, Chairman and Managing Director of Lumax Industries, the country's market leader in automobile lighting systems and solutions. While the supply-side issues continue, the recent increases in fuel prices have hurt the demand for entry-level models, especially in the two-wheeler segment, due to higher running cost. Despite ongoing chal-

LOOKING DOWN A 5C BARREL

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